

ECON-205

Consumer Theory:

Consumer Preferences, Well-Behaved Preferences, Indifference Curves, Budget Constraint. Utility Functions, Utility Maximization, Choice, Deriving the Demand Curve, Consumer Surplus. The idea of revealed preference.

Goods classifications:

Elasticity computation. Normal and Inferior Goods, and Giffen Goods, Substitutes and Complements, The Price and income Offer Curves, Engel curve, The Inverse Demand Function.

Price Effects:

Substitution Effect, Income effect, Sign of Substitution Effect, Total Change in Demand, Rates of Change, Law of demand, Compensating Demand Curves.

Technology:

Inputs and Outputs, Describing Technological Constraints, Examples of Technology, Properties of Technology, Long Run and Short Run.

Cost and Revenue:

Cost Minimization, returns to Scale and the Cost Function, Long Run and Short Run Costs, Fixed and Quasi-Fixed Costs, Sunk Costs.

Profit under perfect and imperfect markets Profits:

Short run and long run profit maximization. Comparative Statistic, Profit Maximization and Returns to Scale (with respect to production technology and profits).

Monopoly:

Maximizing Profits, Linear Demand Curve and Monopoly, Markup Pricing, Inefficiency of Monopoly, Deadweight Loss of Monopoly, what causes Monopolies?

Monopoly Behaviour:

Price Discrimination, First-Degree Price Discrimination, Second Degree Price Discrimination, Third-Degree Price Discrimination, Bundling, Two-Part Tariffs, Monopolistic Competition.

Factors Market:

Introduction to the market of factors of production, demand and supply curves, derivation of derived demand curve, market equilibrium, monopsony.

CONTENTS

In this PDF

I have marked almost all topic include in our outline
it can be helpful to you find topic in this book

Preface

xix

1 The Market

Constructing a Model 1 Optimization and Equilibrium 3 The Demand Curve 3 The Supply Curve 5 Market Equilibrium 7 Comparative Statics 9 Other Ways to Allocate Apartments 11 *The Discriminating Monopolist* • *The Ordinary Monopolist* • *Rent Control* • Which Way Is Best? 14 Pareto Efficiency 15 Comparing Ways to Allocate Apartments 16 Equilibrium in the Long Run 17 Summary 18 Review Questions 19

2 Budget Constraint

The Budget Constraint 20 Two Goods Are Often Enough 21 Properties of the Budget Set 22 How the Budget Line Changes 24 The Numeraire 26 Taxes, Subsidies, and Rationing 26 *Example: The Food Stamp Program* Budget Line Changes 31 Summary 31 Review Questions 32

3 Preferences

Consumer Preferences 34 Assumptions about Preferences 35 Indifference Curves 36 Examples of Preferences 37 Perfect Substitutes • Perfect Complements • Bads • Neutrals • Satiation • Discrete Goods • Well-Behaved Preferences 44 The Marginal Rate of Substitution 48 Other Interpretations of the MRS 50 Behavior of the MRS 51 Summary 52 Review Questions 52

4 Utility

Cardinal Utility 57 Constructing a Utility Function 58 Some Examples of Utility Functions 59 Example: Indifference Curves from Utility • Perfect Substitutes • Perfect Complements • Quasilinear Preferences • Cobb-Douglas Preferences • Marginal Utility 65 Marginal Utility and MRS 66 Utility for Commuting 67 Summary 69 Review Questions 70 Appendix 70 Example: Cobb-Douglas Preferences

5 Choice

Optimal Choice 73 Consumer Demand 78 Some Examples 78 Perfect Substitutes • Perfect Complements • Neutrals and Bads • Discrete Goods • Concave Preferences • Cobb-Douglas Preferences • Estimating Utility Functions 83 Implications of the MRS Condition 85 Choosing Taxes 87 Summary 89 Review Questions 89 Appendix 90 Example: Cobb-Douglas Demand Functions

6 Demand

Normal and Inferior Goods 96 Income Offer Curves and Engel Curves 97 Some Examples 99 Perfect Substitutes • Perfect Complements • Cobb-Douglas Preferences • Homothetic Preferences • Quasilinear Preferences • Ordinary Goods and Giffen Goods 104 The Price Offer Curve and the Demand Curve 106 Some Examples 107 Perfect Substitutes • Perfect Complements • A Discrete Good • Substitutes and Complements 111 The Inverse Demand Function 112 Summary 114 Review Questions 115 Appendix 115

7 Revealed Preference

The Idea of Revealed Preference 119 From Revealed Preference to Preference 120 Recovering Preferences 122 The Weak Axiom of Revealed Preference 124 Checking WARP 125 The Strong Axiom of Revealed Preference 128 How to Check SARP 129 Index Numbers 130 Price Indices 132 *Example: Indexing Social Security Payments* Summary 135 Review Questions 135

8 Slutsky Equation

The Substitution Effect 137 *Example: Calculating the Substitution Effect* The Income Effect 141 *Example: Calculating the Income Effect* Sign of the Substitution Effect 142 The Total Change in Demand 143 Rates of Change 144 The Law of Demand 147 Examples of Income and Substitution Effects 147 *Example: Rebating a Tax* *Example: Voluntary Real Time Pricing* Another Substitution Effect 153 Compensated Demand Curves 155 Summary 156 Review Questions 157 Appendix 157 *Example: Rebating a Small Tax*

9 Buying and Selling

Net and Gross Demands 160 The Budget Constraint 161 Changing the Endowment 163 Price Changes 164 Offer Curves and Demand Curves 167 The Slutsky Equation Revisited 168 Use of the Slutsky Equation 172 *Example: Calculating the Endowment Income Effect* Labor Supply 173 The Budget Constraint • Comparative Statics of Labor Supply 174 *Example: Overtime and the Supply of Labor* Summary 178 Review Questions 179 Appendix 179

14 Consumer's Surplus

Demand for a Discrete Good 252 Constructing Utility from Demand 253 Other Interpretations of Consumer's Surplus 254 From Consumer's Surplus to Consumers' Surplus 255 Approximating a Continuous Demand 255 Quasilinear Utility 255 Interpreting the Change in Consumer's Surplus 256 *Example: The Change in Consumer's Surplus* Compensating and Equivalent Variation 258 *Example: Compensating and Equivalent Variations* *Example: Compensating and Equivalent Variation for Quasilinear Preferences* Producer's Surplus 262 Benefit-Cost Analysis 264 Rationing • Calculating Gains and Losses 266 Summary 267 Review Questions 267 Appendix 268 *Example: A Few Demand Functions* *Example: CV, EV, and Consumer's Surplus*

15 Market Demand

From Individual to Market Demand 270 The Inverse Demand Function 272 *Example: Adding Up "Linear" Demand Curves* Discrete Goods 273 The Extensive and the Intensive Margin 273 Elasticity 274 *Example: The Elasticity of a Linear Demand Curve* Elasticity and Demand 276 Elasticity and Revenue 277 *Example: Strikes and Profits* Constant Elasticity Demands 280 Elasticity and Marginal Revenue 281 *Example: Setting a Price* Marginal Revenue Curves 283 Income Elasticity 284 Summary 285 Review Questions 286 Appendix 287 *Example: The Laffer Curve* *Example: Another Expression for Elasticity*

16 Equilibrium

Supply 293 Market Equilibrium 293 Two Special Cases 294 Inverse Demand and Supply Curves 295 *Example: Equilibrium with Linear Curves* Comparative Statics 297 *Example: Shifting Both Curves* Taxes 298 *Example: Taxation with Linear Demand and Supply* Passing Along a Tax 302 The Deadweight Loss of a Tax 304 *Example: The Market for Loans* *Example: Food Subsidies* *Example: Subsidies in Iraq* Pareto Efficiency 310 *Example: Waiting in Line* Summary 313 Review Questions 313

17 Auctions

Classification of Auctions 316 *Bidding Rules* • Auction Design 317
 Other Auction Forms 320 *Example: Late Bidding on eBay* Position
 Auctions 322 *Two Bidders* • *More Than Two Bidders* • *Quality*
Scores • Problems with Auctions 326 *Example: Taking Bids Off the*
Wall The Winner's Curse 327 Stable Marriage Problem 327 Mech-
 anism Design 329 Summary 331 Review Questions 331

18 Technology

Inputs and Outputs 332 Describing Technological Constraints 333
Examples of Technology 334 *Fixed Proportions* • *Perfect Substi-*
tutes • *Cobb-Douglas* • *Properties of Technology 336* The Marginal
 Product 338 The Technical Rate of Substitution 338 Diminishing
 Marginal Product 339 Diminishing Technical Rate of Substitution 339
 The Long Run and the Short Run 340 Returns to Scale 340 *Ex-*
ample: Datacenters *Example: Copy Exactly!* Summary 343 Review
 Questions 344

19 Profit Maximization

Profits 345 The Organization of Firms 347 Profits and Stock Market
 Value 347 The Boundaries of the Firm 349 Fixed and Variable Fac-
 tors 350 Short-Run Profit Maximization 350 Comparative Statics
352 Profit Maximization in the Long Run 353 Inverse Factor Demand
Curves 354 Profit Maximization and Returns to Scale 355 Revealed
 Profitability 356 *Example: How Do Farmers React to Price Supports?*
 Cost Minimization 360 Summary 360 Review Questions 361 Ap-
 pendix 362

20 Cost Minimization

Cost Minimization 364 *Example: Minimizing Costs for Specific Technologies* Revealed Cost Minimization 368 Returns to Scale and the Cost Function 369 Long-Run and Short-Run Costs 371 Fixed and Quasi-Fixed Costs 373 Sunk Costs 373 Summary 374 Review Questions 374 Appendix 375

21 Cost Curves

Average Costs 378 Marginal Costs 380 Marginal Costs and Variable Costs 382 *Example: Specific Cost Curves* *Example: Marginal Cost Curves for Two Plants* Cost Curves for Online Auctions 386 Long-Run Costs 387 Discrete Levels of Plant Size 389 Long-Run Marginal Costs 390 Summary 391 Review Questions 392 Appendix 393

22 Firm Supply

Market Environments 395 Pure Competition 396 The Supply Decision of a Competitive Firm 398 An Exception 400 Another Exception 401 *Example: Pricing Operating Systems* The Inverse Supply Function 403 Profits and Producer's Surplus 403 *Example: The Supply Curve for a Specific Cost Function* The Long-Run Supply Curve of a Firm 407 Long-Run Constant Average Costs 409 Summary 410 Review Questions 411 Appendix 411

23 Industry Supply

Short-Run Industry Supply 413 Industry Equilibrium in the Short Run 414 Industry Equilibrium in the Long Run 415 The Long-Run Supply Curve 417 *Example: Taxation in the Long Run and in the Short Run* The Meaning of Zero Profits 421 Fixed Factors and Economic Rent 422 *Example: Taxi Licenses in New York City* Economic Rent 424 Rental Rates and Prices 426 *Example: Liquor Licenses* The Politics of Rent 427 *Example: Farming the Government* Energy Policy 429 Two-Tiered Oil Pricing • Price Controls • The Entitlement Program • Carbon Tax Versus Cap and Trade 433 *Optimal Production of Emissions • A Carbon Tax • Cap and Trade • Summary* 437 Review Questions 437

24 Monopoly

Maximizing Profits 440 Linear Demand Curve and Monopoly 441 Markup Pricing 443 *Example: The Impact of Taxes on a Monopolist* Inefficiency of Monopoly 445 Deadweight Loss of Monopoly 447 *Example: The Optimal Life of a Patent* *Example: Patent Thickets* *Example: Managing the Supply of Potatoes* Natural Monopoly 451 What Causes Monopolies? 454 *Example: Diamonds Are Forever* *Example: Pooling in Auction Markets* *Example: Price Fixing in Computer Memory Markets* Summary 458 Review Questions 458 Appendix 459

25 Monopoly Behavior

Price Discrimination 462 First-Degree Price Discrimination 462 *Example: First-degree Price Discrimination in Practice* Second-Degree Price Discrimination 465 *Example: Price Discrimination in Airfares* *Example: Prescription Drug Prices* Third-Degree Price Discrimination 469 *Example: Linear Demand Curves* *Example: Calculating Optimal Price Discrimination* *Example: Price Discrimination in Academic Journals* Bundling 474 *Example: Software Suites* Two-Part Tariffs 475 Monopolistic Competition 476 A Location Model of Product Differentiation 480 Product Differentiation 482 More Vendors 483 Summary 484 Review Questions 484